Note-#Final-Research

Date	March 17, 2026
Lecture	Research

ECON4200 (1)

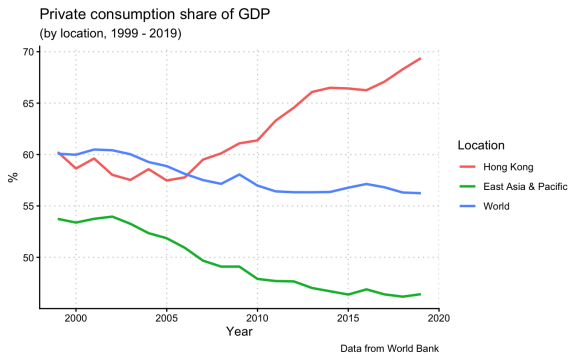
📝 Summary

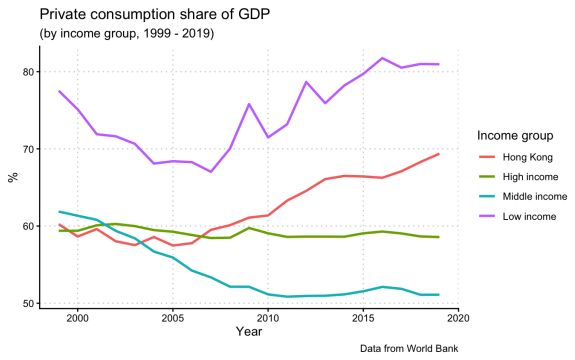
- Key Takeaways:
- Keywords:
- Important Subjects:

Hong Kong household consumption pattern between 1999-2019

Macro

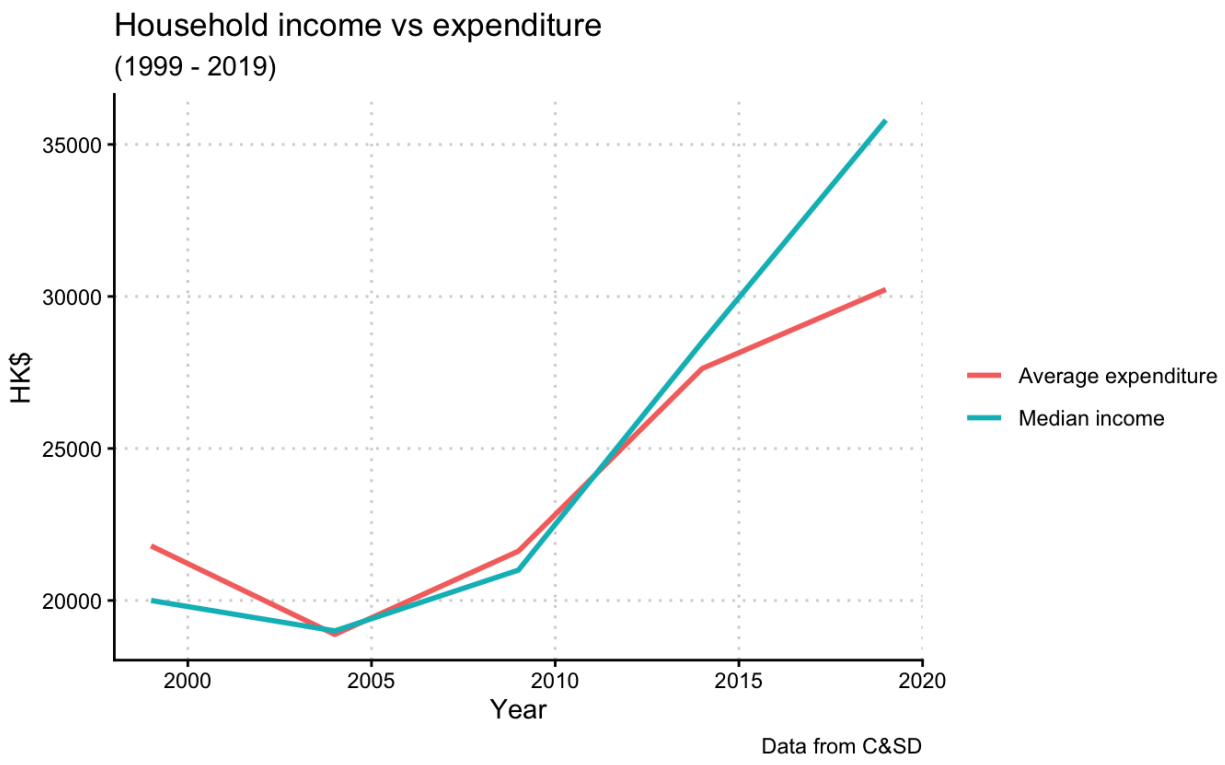
- Private consumption share increased from 60-70% between 1999-2019
- Higher than East Asia and World, and diverged since 2006
- Behaved like high / middle income countries, but trended up like low income countries since 2006, yet still lower
- Hypothesis?
    - Engel's Law - As income rises, the proportion of income spent on food and basic necessities declines, while the proportion spent on discretionary goods, leisure, and services increases.
    - Wealth Effect



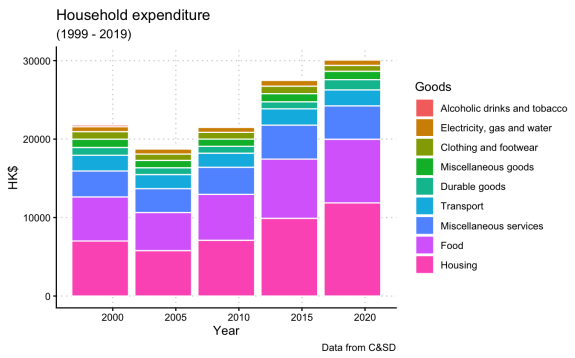


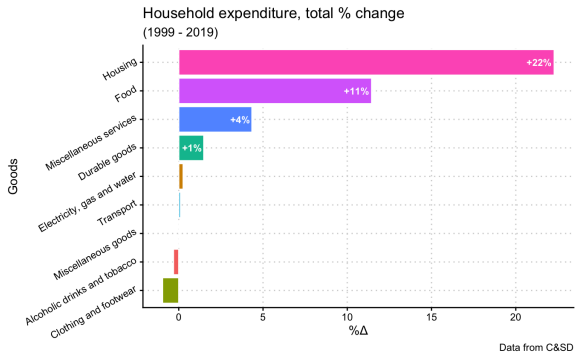
Household

- Micro data actually shows income trended up, while expenditure declined a bit, inconsistent to the macro data
- But expenditure still trended up in general
- Median income lower than then average expenditure, might be an error during C&SD data aggregation, but believe trend still reliable



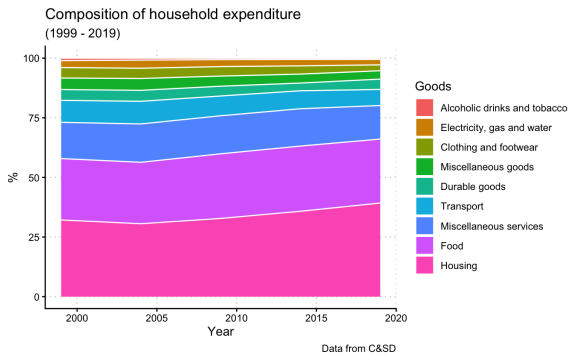
- Increase in expenditure is driven by necessities, primarily housing and food, contributed 22% and 11% out of 38% increased
- Miscellaneous services and durable goods also contributed 4% and 1%
- Others changes in consumption not significant

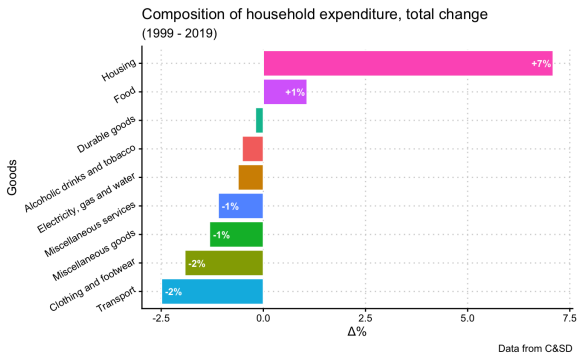




goods	pct_change
Alcoholic drinks and tobacco	-0.32
Electricity, gas and water	0.26
Clothing and footwear	-0.96
Miscellaneous goods	0.04
Durable goods	1.49
Transport	0.11
Miscellaneous services	4.34
Food	11.45
Housing	22.28

- In terms of share, housing and food consisted the largest portion of expenditure, increased from 58% to 66%
- Housing alone, increased from 32% to 39%, heavily relative to other goods, by 7%



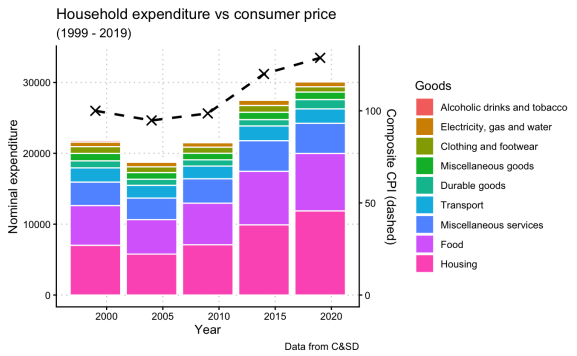


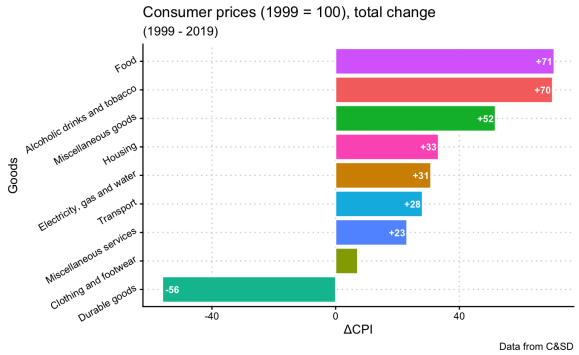
goods	1999	2004
Alcoholic drinks and tobacco	1.04	0.80
Electricity, gas and water	2.90	3.42
Clothing and footwear	4.40	4.30
Miscellaneous goods	4.83	4.96
Durable goods	4.53	4.60
Transport	9.22	9.50
Miscellaneous services	15.19	16.08
Food	25.75	25.75
Housing	32.16	30.58

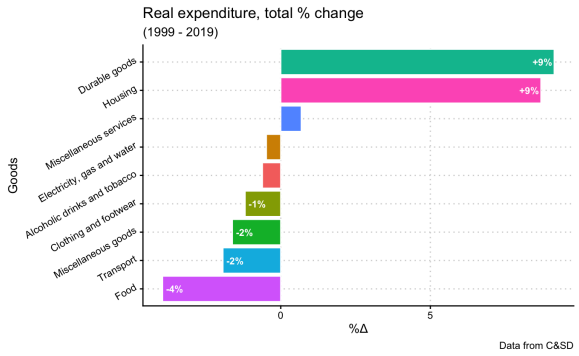
goods	change
Alcoholic drinks and tobacco	-0.52
Electricity, gas and water	-0.62
Clothing and footwear	-1.92
Miscellaneous goods	-1.32
Durable goods	-0.19
Transport	-2.49
Miscellaneous services	-1.10
Food	1.07
Housing	7.09

- In aggregate, increase in nominal expenditure is likely driven by the increase in consumer price
- Most goods inflated in price, except durable goods
- After adjusting for consumer prices, most changes in nominal expenditure were driven by the inflated price
- Food even decreased in real consumption by 4%, while housing still showed increased in real consumption by 9%

- Durable good increased in real consumption by 9%, explained by the decreased price



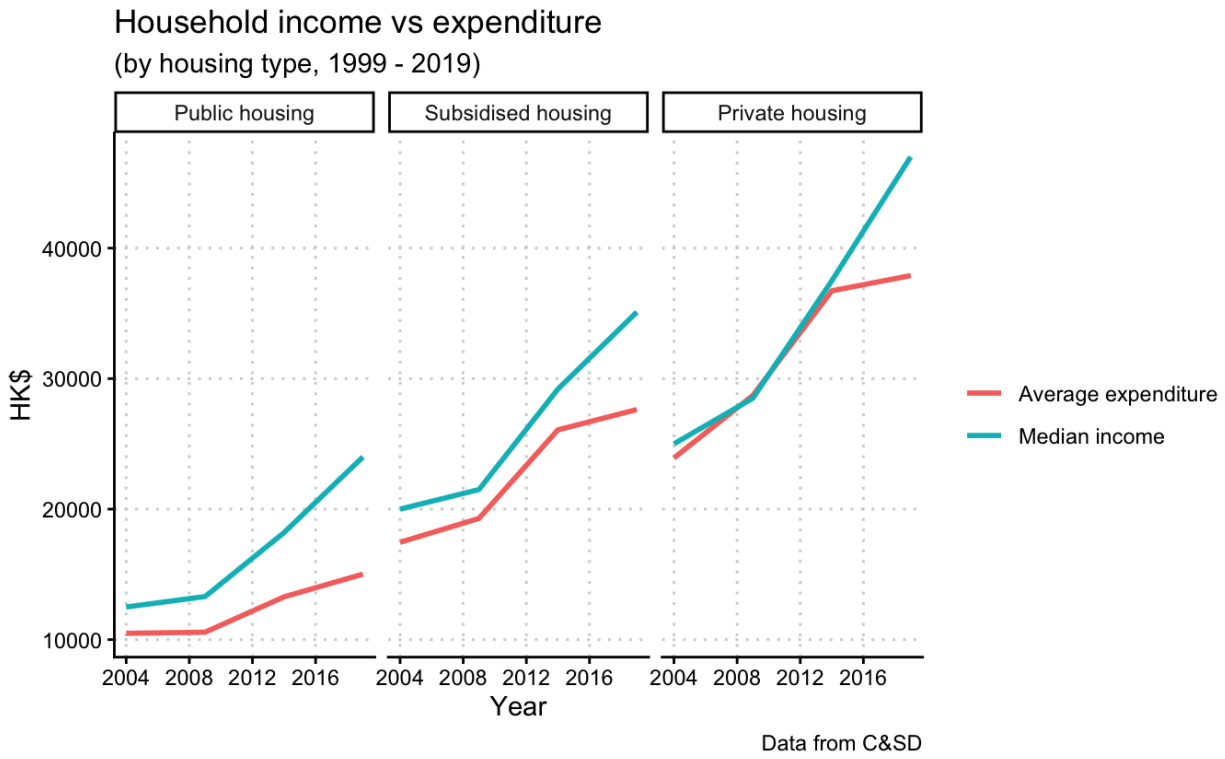




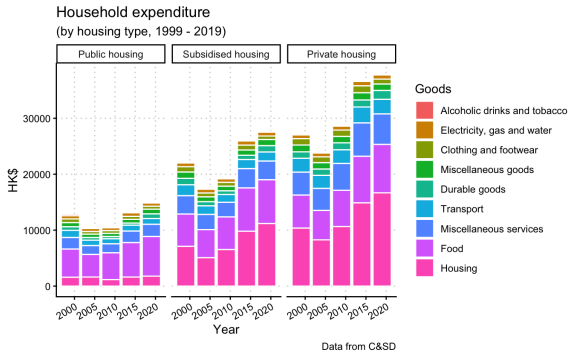
goods	pct_change
Alcoholic drinks and tobacco	-0.61
Electricity, gas and water	-0.48
Clothing and footwear	-1.19
Miscellaneous goods	-1.62
Durable goods	9.14
Transport	-1.93
Miscellaneous services	0.69
Food	-3.95
Housing	8.70

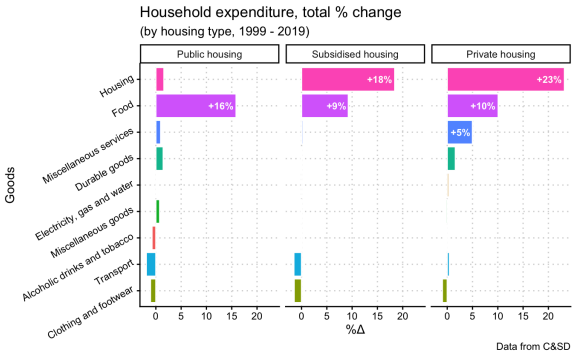
By housing type

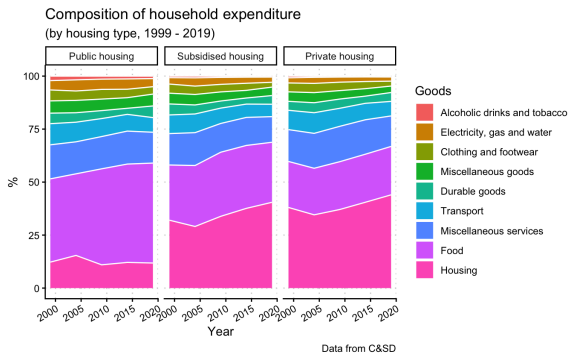
- Clearer pattern emerged analysed by housing type, the expenditure in share of income increased monotonically

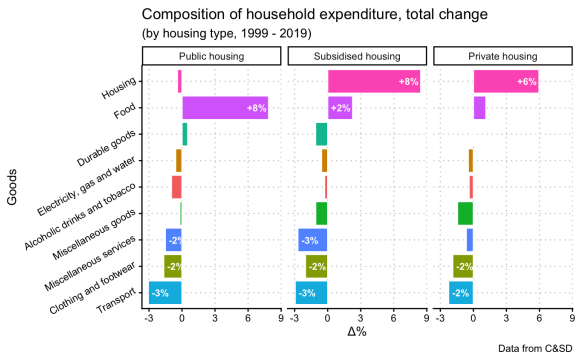


- As expected the divergence between different housing type is explained by the housing expenditure
- The increase in housing expenditure are also only shown in subsidised and private households
- Controlled for housing, only food still increased significantly, other expenditure did not show significant changes

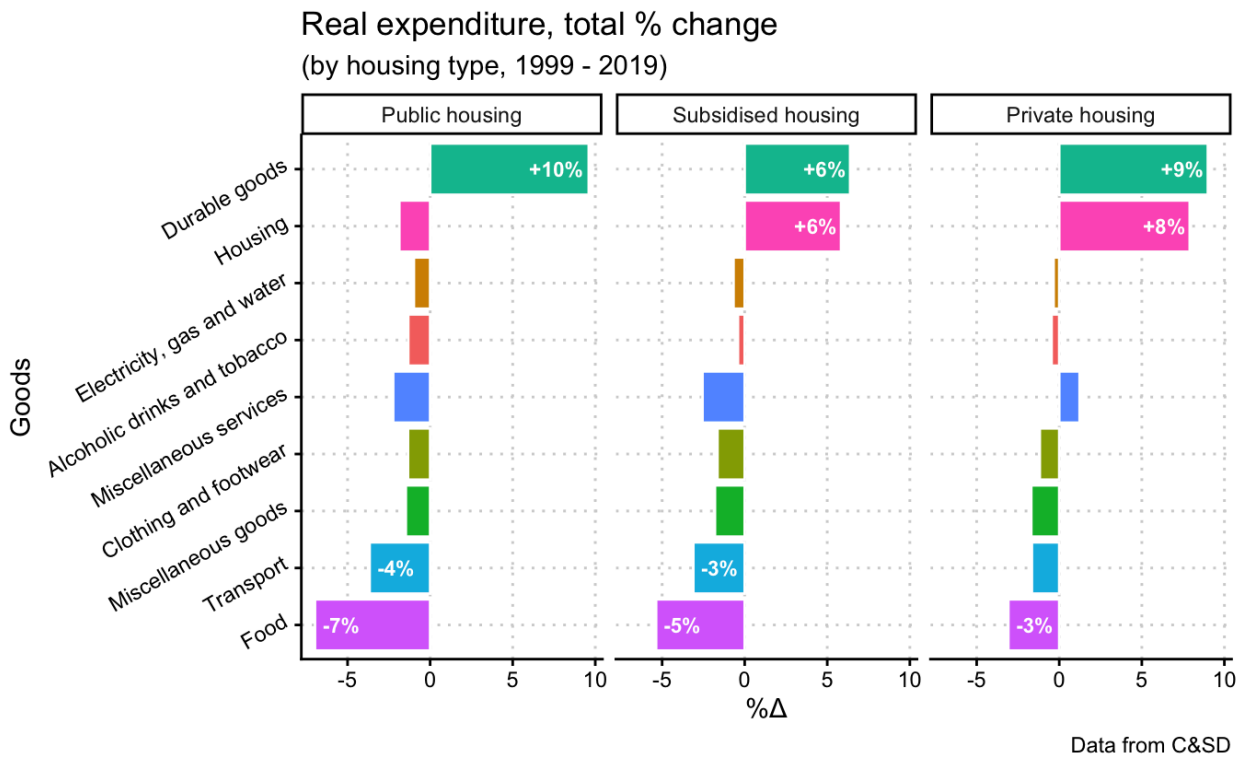






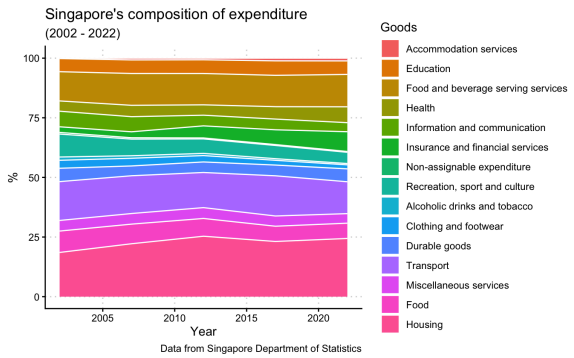


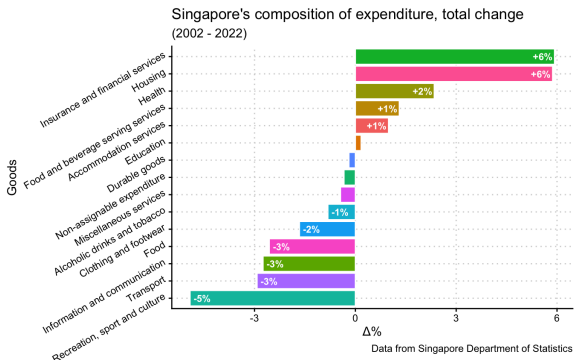
- The pattern in real terms in consistent with above results
- Housing in real consumption also increased along time, increased 6% and 8% for subsidised and private household
- Controlled for housing, decreased real consumption in food also affected public household by the most, decreased by 7%

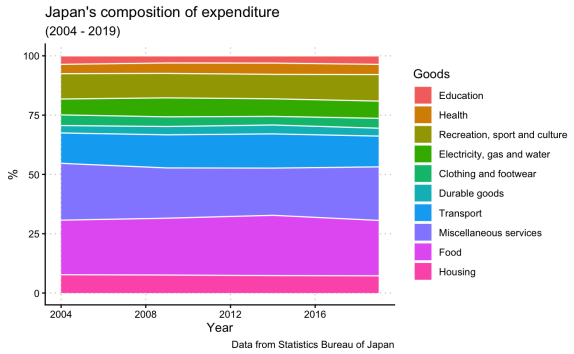


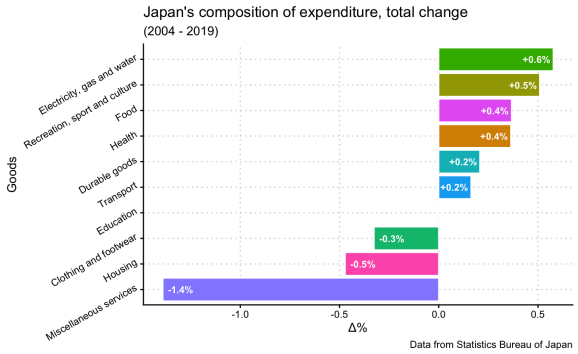
Cross-country comparison

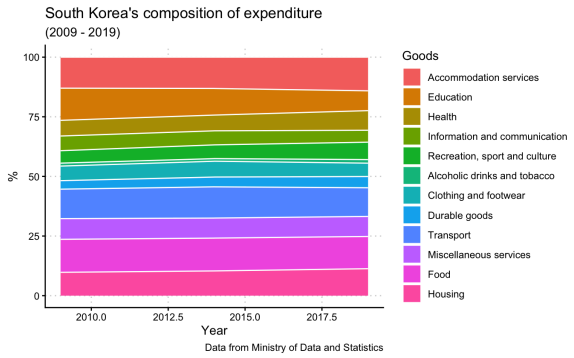
- Singapore also exhibits similar 6% increase in housing expenditure, except that other Asia countries did not show the same trend
- All countries had significantly lower share of housing expenditure, Singapore's ~25% is closest but still 10% lower than Hong Kong

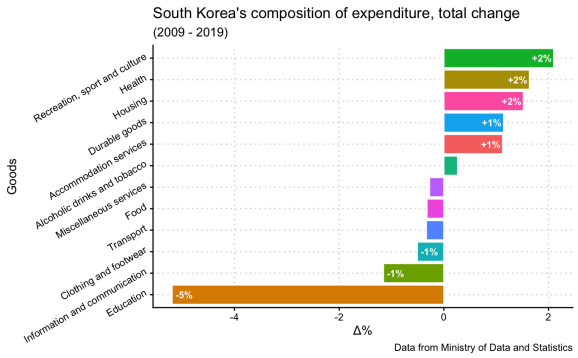




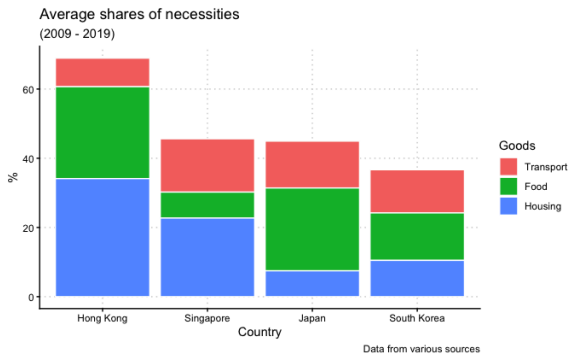


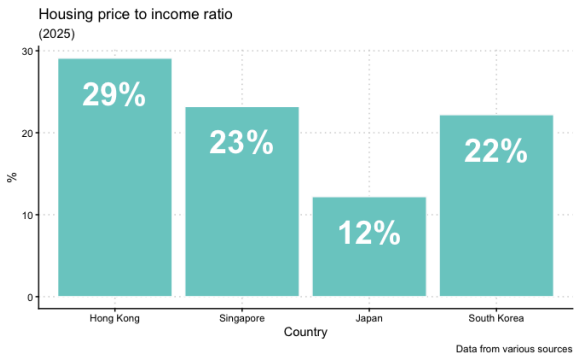






- Average shares of housing and food significantly higher than other countries


Average shares of necessities
(2009 - 2019)
%
60
40
20
0
Hong Kong
Singapore
Japan
South Korea
Country
Data from various sources
Goods
Transport
Food
Housing


Housing price to income ratio
(2025)
%
30
20
10
0
29%
23%
12%
22%
Hong Kong
Singapore
Japan
South Korea
Country
Data from various sources